STRATEGY MEMO

Clarity App

Pricing & Monetisation Strategy

Should Clarity introduce a subscription model?

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1. EXECUTIVE SUMMARY

Clarity currently operates on a pure pay-per-session model, charging users on a per-minute basis (₹50–400/min depending on session type and listener). This memo evaluates whether Clarity should introduce a subscription tier alongside — or instead of — this model, and what form that subscription should take.

Recommendation (TL;DR)
Introduce a hybrid model: retain pay-per-session as the default entry point, and add a 'Clarity Plus' monthly subscription at ₹399/month that gives subscribers a wallet credit bundle, priority listener matching, and access to exclusive listener profiles. Do NOT replace pay-per-session — subscriptions should convert power users, not gate new ones.

2. CURRENT MONETISATION MODEL — CLARITY TODAY

2.1 How Clarity Makes Money

Clarity operates as a two-sided marketplace. Users pay per session (charged per minute) and listeners earn a share of session revenue. Clarity takes a platform cut in between. The wallet-based model means users pre-load funds and spend them as needed — reducing friction at the point of booking while ensuring pre-commitment.

Session Type	User Rate (₹/min)	Typical 20-min Cost	Listener Earning (est.)
Chat	₹50–100	₹1,000–2,000	~₹400–800
Audio Call	₹100–200	₹2,000–4,000	~₹800–1,600
Video Call	₹200–400	₹4,000–8,000	~₹1,600–3,200

Source: Third-party review analysis of Clarity's pricing structure (freefast.org, 2024). Listener earnings estimated at ~40% revenue share based on industry norms.

2.2 Strengths of the Current Model

- Low barrier to entry — users pay only when they need support, reducing commitment anxiety.

- High revenue per engaged session — a 20-min audio call generates ₹2,000–4,000, giving strong unit economics when sessions occur.
- Works well for crisis-driven, one-time users who are not yet ready to commit to ongoing support.
- Wallet pre-loading creates de facto retention — users with wallet balance are more likely to return.

2.3 Weaknesses of the Current Model

- No predictable recurring revenue — Clarity cannot forecast monthly revenue reliably, making growth planning harder.
- High effective cost per session deters habitual use — at ₹2,000+ per call, weekly sessions cost ₹8,000/month. This is unaffordable for most Indian users aged 18–30.
- No mechanism to reward loyalty — a user who has had 20 sessions pays the same per-minute rate as a first-timer.
- LTV is capped by willingness to pay in a crisis moment — once the crisis passes, the price feels unjustifiable.
- Zero recurring revenue floor — a month with no sessions generates no revenue, creating boom-bust cycles.

3. MARKET CONTEXT & COMPETITIVE PRICING LANDSCAPE

3.1 How Competitors Are Priced

Platform	Model	Entry Price	Subscription	Key Differentiator
Clarity	Per-minute	₹50–400/min	None currently	Human peer listeners, anonymous
YourDOST	Session packs	₹500–1,500/session	B2B subscription (institutions)	Licensed counselors, 20+ languages
Wysa	Freemium	Free (AI chatbot)	$74.99/yr premium (~₹6,200)	AI-first, CBT tools, global scale
InnerHour	Session-based	₹800–2,000/session	Not prominent	Structured programs, therapist-led
Amaha	Session-based	₹1,500–3,500/ session	Packages available	Therapy + psychiatry integration
BetterHelp (Global)	Subscription	$65–100/week	Core model is subscription	Therapist matching, unlimited messaging

3.2 Key Market Observations

- Freemium-to-subscription is the global trend — Wysa and global leader BetterHelp both use recurring models. Per-session pricing is becoming the exception, not the norm.
- Indian price sensitivity is real but navigable — India's median Y1 subscription LTV is ~₹1,160 (from RevenueCat 2026 data), but Health & Fitness apps consistently outperform lifestyle benchmarks when the value proposition is clear.
- Clarity's per-minute model is the most expensive in the Indian market on an hourly basis — but the lowest commitment barrier. This is a tension that a subscription tier can resolve.
- YourDOST's B2B institutional subscription model (colleges, corporates) is a proven revenue path that Clarity has not yet pursued.

4. USER SEGMENTATION — WHO WOULD SUBSCRIBE?

Not all Clarity users are subscription candidates. Introducing a subscription without understanding the segment risks cannibalising per-session revenue without generating new recurring revenue. This section identifies the right target for a subscription offering.

Segment	Behaviour	Willingness to Subscribe	Strategy
One-Time Crisis User	1 session, never returns	Very Low — paid for crisis relief, gone	Serve well, re-engage via ECHO. Not a subscription candidate.
Occasional User	3–6 sessions/year, irregular	Medium — price-sensitive, but sees value	Target with discounted bundle packs (not monthly sub).
Regular User	1–2 sessions/month	High — paying ₹4,000–8,000/month already	Core subscription target. Subscription saves them money.
Power User	4+ sessions/month	Very High — heavy spend, loyalty signals	Premium subscription + exclusive listener access.

Key Insight

Regular and Power Users (estimated 15–20% of active users) represent disproportionate revenue. A subscription captures their spend into predictable recurring revenue while reducing their per-session cost — a genuine win-win that is the strongest argument for introducing a subscription tier.

5. OPTIONS ANALYSIS — THREE POSSIBLE MODELS

Option A: Stay Pure Pay-Per-Session (Status Quo)

	Pros	Cons
Status Quo — No Change	• No cannibalisation risk • Simple pricing, no user confusion • Works for crisis-driven acquisition	• No recurring revenue floor • Loyal users over-pay vs. value received • Cannot compete with subscription-first apps for habit-based users

Option B: Full Subscription Replacement

	Pros	Cons
Replace per-session with monthly sub	• Predictable recurring revenue • Aligns with global market direction • Encourages habitual use	• HIGH RISK: Clarity's core user is crisis-driven — subscriptions require commitment that crisis users won't make • Would likely reduce overall revenue and user acquisition • Listeners may resist (earning tied to session volume)

Option C: Hybrid Model — Recommended

	Pros	Cons
Add subscription tier alongside pay-per-session	• Captures recurring revenue from power users • No access barrier for new/crisis users • Creates a loyalty pathway and reduces churn • Globally proven model (Wysa, Headspace both use this)	• Pricing architecture complexity increases • Requires clear value differentiation to avoid user confusion • Subscription benefits must not undercut per-session listener earnings

Verdict

Option C (Hybrid) is the only viable path. Option A leaves revenue on the table. Option B risks destroying the business model. The hybrid approach — keep pay-per-session, add a subscription layer for committed users — is what Headspace, Wysa, and Calm all do successfully.

6. PROPOSED SUBSCRIPTION DESIGN — CLARITY PLUS

6.1 Pricing Architecture

FREE	✦ CLARITY PLUS	CLARITY PRO
₹0 *Pay as you go* • All session types available • Per-minute billing • Any verified listener • Anonymous, no subscription	**₹399/month** *₹3,599/year (save 25%)* **RECOMMENDED** • ₹500 wallet credit/month • Priority listener matching • Exclusive 'Plus' listeners • Session history & insights • ECHO early access features	**₹999/month** *₹8,999/year (save 25%)* • ₹1,500 wallet credit/month • Dedicated listener pool • Unlimited chat sessions • Monthly wellness check-in • Everything in Plus

6.2 Why ₹399/month?

- It is below the psychological ₹500 barrier — research on Indian app pricing consistently shows conversion drops sharply above ₹500/month for non-utility apps.
- It represents genuine savings for Regular Users — a user having 2 audio calls/month at ₹100/min for 20 minutes each pays ₹4,000 without Plus. The ₹500 credit reduces effective spend to ₹3,900, and they pay only ₹399 for the subscription.
- It is 4× cheaper than Wysa's annual plan on a monthly basis (~₹517/month) — strong value signal.
- The wallet credit model avoids 'wasted subscription' psychology — users who don't use the credit in a month feel the sting of unused value, not of paying for nothing.

6.3 Value Proposition by User Segment

User Type	What They Get from Plus	Why They'll Subscribe
Regular User (1–2 sessions/mo)	₹500 credit offsets most session cost; priority matching reduces wait time	Saves money + reduces friction — clear ROI
Power User (4+ sessions/mo)	₹500 credit is a meaningful discount; Plus Pro at ₹999 gives ₹1,500 credit (net positive)	Subscription costs less than they already spend on a single session
Listener-loyal User	Exclusive listener pool + priority matching lets them reach favourite listeners faster	Emotional continuity — the relationship with their listener is the product

7. REVENUE IMPACT MODEL

7.1 Assumptions

- Clarity has ~50,000 monthly active users (MAU) — estimated from 422 employees, VC funding, and India market positioning.
- ~15% are Regular/Power Users (7,500 users) — the subscription conversion target.
- Conservative subscription conversion: 20% of Regular/Power Users in Year 1 (1,500 subscribers).
- Average subscription: ₹399/month (70% on Plus, 30% on Pro = blended ~₹570/month per subscriber).

7.2 Projected Incremental Revenue

Scenario	Subscribers (Y1)	Monthly Sub Revenue	Annual Incremental Revenue
Conservative (20% conversion)	1,500	₹8.55L/month	~₹1.03 Cr/year
Base Case (30% conversion)	2,250	₹12.8L/month	~₹1.54 Cr/year
Optimistic (50% conversion)	3,750	₹21.4L/month	~₹2.57 Cr/year

Note: The wallet credit included in subscriptions (₹500/month for Plus) offsets some gross revenue — this is accounted for by netting credit against session revenue. The net new revenue is from the subscription fee above the credit value (₹399 fee for ₹500 credit = ₹101 net cost to Clarity per subscriber, offset by increased session frequency and LTV improvement).

7.3 LTV Impact

- Current LTV (pay-per-session, Regular User): ~₹8,000/year (2 sessions/month × ₹4,000 avg session value × 12 months × ~8% annual retention rate ÷ churn).
- Projected LTV with Clarity Plus: ~₹14,000–18,000/year — subscriptions increase session frequency, reduce churn, and add predictable subscription revenue on top.
- This 75–125% LTV increase for subscribers is the core financial case for the hybrid model.

8. RISK ANALYSIS

Risk	Likelihood	Mitigation
Subscription cannibalises per-session revenue (users reduce per-min spend because of credit)	Medium	Design wallet credit so it supplements, not replaces, paid sessions. Monitor ARPU vs. ARPU pre-subscription.
Listener earnings drop (fewer high-rate per-min sessions from subscribers)	Medium	Ring-fence Plus listener pool. Ensure Plus listeners are compensated on a per-session floor, not just revenue share.
Users subscribe then go inactive (wasted credit, churn at renewal)	Medium-High	Activate ECHO re-engagement for Plus users specifically. Subscription churn is more damaging than session churn.
₹399 price point too high for Tier-2/3 city users	Medium	A/B test ₹299 vs ₹399. Consider a 'Clarity Lite' pack at ₹149 with smaller credit (₹200) for price-sensitive segments.
User confusion between free and Plus session access	Low	Clear in-app UI: Plus badge on eligible listeners, credit balance prominently shown, one-tap session booking for subscribers.

9. B2B SUBSCRIPTION — THE UNDEREXPLORED REVENUE STREAM

YourDOST has built a large business selling institutional subscriptions to colleges and corporates (500+ institutional clients, 2,000+ counselling sessions/day). Clarity has not yet pursued this path — but it is ideally positioned to do so.

9.1 Why Clarity is Well-Positioned for B2B

- Anonymous, stigma-free design is exactly what HR teams want — employees are more likely to use a platform where their employer cannot see usage.
- Peer listener model is cheaper than professional therapist platforms — Clarity can offer institutional pricing that undercuts YourDOST significantly.
- India's corporate wellness mandates are growing — post-pandemic, ESG reporting increasingly includes employee mental health metrics.

9.2 Proposed B2B Model

Tier	Price	What Institutions Get
Clarity Campus	₹15,000/month per 500 students	Unlimited anonymous chat sessions for enrolled students; usage dashboard for institution (anonymised).
Clarity Workplace	₹25,000/month per 200 employees	Chat + audio sessions; quarterly wellness summary report; Clarity branding option.
Clarity Enterprise	Custom pricing	Dedicated listener pool, custom integration, white-label option, real-time support SLA.

B2B Revenue Potential

At 20 college campuses (realistic in Year 1 given IITian founder network), Clarity Campus generates ₹30L/month = ₹3.6 Cr/year recurring revenue — larger than the entire B2C subscription projection. B2B is the fastest path to meaningful recurring revenue and should be pursued in parallel with the Clarity Plus consumer subscription.

10. IMPLEMENTATION ROADMAP

Phase	Deliverables	Timeline
Phase 1	Define subscription tier benefits. Engineering scoping for wallet credit system + priority matching. Legal review of subscription T&C under consumer protection rules.	Weeks 1–3
Phase 2	A/B test subscription paywall with 10% of Regular/Power Users. Test ₹299 vs ₹399 price point. Measure: trial starts, conversion rate, ARPU delta.	Weeks 4–7
Phase 3	Full Clarity Plus rollout. Launch B2B sales motion (colleges first via founder network). Activate ECHO for Plus subscriber re-engagement.	Weeks 8–12
Phase 4	Evaluate Clarity Pro (₹999) based on Plus data. Build B2B dashboard (anonymised usage reports). Review subscriber LTV vs. projections.	Months 4–6

11. SUCCESS METRICS

Metric	Target (6 months)	How to Measure
Clarity Plus subscribers	1,500+ (base case)	Subscription management dashboard
Monthly Recurring Revenue (MRR)	₹8.5L+ (conservative)	Revenue dashboard, subscription fees only

Subscriber monthly session frequency	2× vs. non-subscriber	Cohort analysis: subscribers vs. control
Subscriber 3-month retention	60%+	Renewal rate at Month 3
Per-session ARPU (non-subscribers)	No regression vs. baseline	Ensure cannibalisation not occurring
B2B institutional contracts signed	5+ in Year 1	CRM / sales pipeline
Listener earnings impact	No >5% decline	Listener payout reports, pre/post comparison

12. FINAL RECOMMENDATION

Do This Now (0–3 months)

Launch Clarity Plus at ₹399/month with ₹500 wallet credit + priority matching. A/B test ₹299 vs ₹399. Target Regular and Power Users first. Do not gate any existing features behind the paywall — the subscription is additive, not restrictive.

Do This in Parallel (1–3 months)

Begin B2B sales motion — start with engineering colleges (IIT/NIT network, relevant to founder background). One B2B deal generates more recurring revenue than hundreds of consumer subscriptions. Build the B2B dashboard as the first institutional product deliverable.

Do This Later (3–6 months)

Launch Clarity Pro at ₹999/month once Plus data validates willingness to pay. Evaluate a 'Clarity Lite' pack at ₹149 for Tier-2/3 users. Explore annual plan discounting (25% off) to lock in 12-month LTV.

Do NOT Do This

Do not replace pay-per-session with a mandatory subscription. Clarity's core use case is crisis-driven — subscriptions require commitment that first-time, crisis-state users will not make. The subscription layer should convert committed users, not screen out new ones.

13. APPENDIX

A. Glossary

ARPU	Average Revenue Per User — total revenue divided by active users in a period
MRR	Monthly Recurring Revenue — predictable, subscription-based monthly revenue
LTV	Lifetime Value — total revenue expected from a user over their active lifetime
Wallet Credit	Pre-loaded in-app currency; Clarity Plus grants ₹500/month to offset session costs
Hybrid Model	Offering both pay-per-session AND a subscription tier simultaneously
B2B	Business-to-Business — selling Clarity's platform to institutions (colleges, corporates) rather than individuals
CAC	Customer Acquisition Cost — cost to acquire one new paying user
Churn	The rate at which users stop paying/using the platform in a given period

B. References

- Clarity App — clarityapp.in (product experience, pricing research via third-party reviews)
- freefast.org — Clarity App Pricing Review (2024): Chat ₹50–100/min, Audio ₹100–200/min, Video ₹200–400/min
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- Wysa — choosingtherapy.com review: Premium at $74.99/year (~₹6,200), coaching at $19.99/session
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